

Luk Fook Holdings (0590.HK)

1QFY27 strong SSSG as expected, yet store closure ahead of GSe; Neutral

0590.HK

12m Price Target: HK\$25.00

Price: HK\$23.00

Upside: 8.7%

■ **NEUTRAL**

LF announced its 1QFY27 (Jun-quarter) operational update on Jul 16.

■ **SSSG came largely in line with that during Apr-Jun 21 reported upon FY26 results with solid performance.**

HK&Macau outperformed with SSSG at 41% (vs. Apr-Jun 21 SSSG at >40%); ML China also saw fast SSSG of >20% in line with Apr-Jun 21 performance, with self-operated store SSSG at 16%. Jun SSSG in ML China saw deceleration from a strong May according to management, which is presumably due to less discount offered/more disciplined trade-in, and demand shift to HK&Macau markets. By category, weight-based product sales outperformed, while fixed priced products also recorded DD% SSSG in the quarter at group level.

■ **Store closures were more than expected - Net store closure in ML China totaled 150, higher than 71 net closures in the Mar quarter, compared to GSe of 150 net closures in 1HFY27, while there were 2 net openings in overseas markets.**

Read across to Chow Tai Fook (CTF): CTF will report 1QFY27 operating results on Jul 23. Similar to Luk Fook, we expect to see solid SSSG in both ML and HK&Macau with the latter outperforming (Apr-May SSSG was at +19.7%/+40.6% in ML China/HK&Macau). By category, we expect to see outperformance from weight-based products. We believe the growth sustainability into 2QFY27 and company's strategy to drive fixed priced mix increase would be key to watch during the results, with company's guidance implying HSD% SSSG in ML China and slight mix increase in fixed based products.

Luk Fook 1QFY27 trading updates

Mainland China: Jun quarter SSSG of self-operated shops increased

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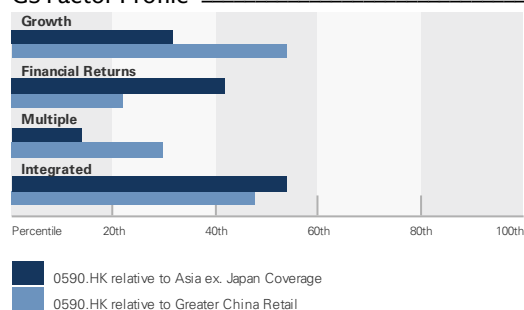
Key Data

Market cap: HK\$13.5bn / \$1.7bn
Enterprise value: HK\$17.8bn / \$2.3bn
3m ADTV: HK\$24.9mn / \$3.2mn
Hong Kong
Greater China Retail
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (HK\$ mn)	17,205.2	20,799.6	22,944.2	24,555.7
EBITDA (HK\$ mn)	3,126.6	3,279.2	3,369.5	3,601.7
EPS (HK\$)	3.48	3.46	3.48	3.77
P/E (X)	6.8	6.7	6.6	6.1
P/B (X)	0.9	0.8	0.8	0.7
Dividend yield (%)	6.6	6.8	6.8	7.4
N debt/EBITDA (ex lease,X)	0.7	1.1	1.1	0.9
CROCI (%)	17.3	12.4	14.5	14.7
FCF yield (%)	(9.3)	(5.8)	8.7	10.5
	9/25	3/26	9/26E	3/27E
EPS (HK\$)	1.05	2.43	1.42	2.04

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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NEUTRAL

Luk Fook Holdings (0590.HK)

Rating since Oct 7, 2024

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	6.8	6.7	6.6	6.1
P/B (X)	0.9	0.8	0.8	0.7
FCF yield (%)	(9.3)	(5.8)	8.7	10.5
EV/EBITDAR (X)	5.2	5.4	5.3	4.8
EV/EBITDA (excl. leases) (X)	5.8	6.0	5.9	5.4
CROCI (%)	17.3	12.4	14.5	14.7
ROE (%)	14.2	12.9	12.2	12.4
Net debt/equity (%)	15.6	27.4	25.8	22.7
Net debt/equity (excl. leases) (%)	12.0	18.7	17.5	15.2
Interest cover (X)	48.0	35.7	33.7	35.2
Days inventory outst, sales	269.0	282.9	289.4	286.0
Receivable days	19.5	18.8	19.1	19.2
Days payable outstanding	47.8	48.3	51.7	51.6
DuPont ROE (%)	13.4	12.6	12.0	12.2
Turnover (X)	0.8	0.8	0.9	0.9
Leverage (X)	1.5	1.6	1.6	1.5
Gross cash invested (ex cash) (HK\$)	22,124.9	20,178.6	21,299.3	22,354.8
Average capital employed (HK\$)	15,419.7	18,093.3	19,571.1	20,510.7
BVPS (HK\$)	26.16	27.59	29.32	31.29

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	29.0	20.9	10.3	7.0
EBITDA growth	60.6	4.9	2.8	6.9
EPS growth	86.0	(0.8)	0.5	8.4
DPS growth	42.7	(0.9)	0.5	8.4
EBIT margin	15.0	12.8	11.8	11.8
EBITDA margin	18.2	15.8	14.7	14.7
Net income margin	11.9	9.8	8.9	9.0

Price Performance

Source: FactSet. Price as of 16 Jul 2026 close.

Income Statement (HK\$ mn)

	3/26	3/27E	3/28E	3/29E
Total revenue	17,205.2	20,799.6	22,944.2	24,555.7
Cost of goods sold	(11,734.9)	(14,861.6)	(16,672.8)	(17,832.6)
SG&A	(3,051.6)	(3,449.7)	(3,754.0)	(4,014.5)
R&D	0.0	0.0	0.0	0.0
Other operating inc./exp.)	156.9	171.0	179.4	185.7
EBITDA	3,126.6	3,279.2	3,369.5	3,601.7
Depreciation & amortization	(551.0)	(619.9)	(672.8)	(707.5)
EBIT	2,575.6	2,659.3	2,696.7	2,894.2
Net interest inc./exp.)	(69.7)	(111.9)	(150.6)	(150.3)
Income/(loss) from associates	0.0	—	—	—
Pre-tax profit	2,578.3	2,543.0	2,541.7	2,739.6
Provision for taxes	(562.9)	(542.5)	(529.5)	(557.0)
Minority interest	30.4	29.4	28.8	30.5
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	2,045.8	2,029.9	2,041.1	2,213.1
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	2,045.8	2,029.9	2,041.1	2,213.1
EPS (basic, pre-exception) (HK\$)	3.48	3.46	3.48	3.77
EPS (diluted, pre-exception) (HK\$)	3.48	3.46	3.48	3.77
EPS (basic, post-exception) (HK\$)	3.48	3.46	3.48	3.77
EPS (diluted, post-exception) (HK\$)	3.48	3.46	3.48	3.77
DPS (HK\$)	1.57	1.56	1.56	1.70
Div. payout ratio (%)	45.1	45.0	45.0	45.0

Balance Sheet (HK\$ mn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	2,361.5	1,595.6	1,761.4	2,112.0
Accounts receivable	982.6	1,156.5	1,247.2	1,337.7
Inventory	14,617.0	17,620.0	18,767.0	19,715.8
Other current assets	28.6	28.6	28.6	28.6
Total current assets	17,989.6	20,400.6	21,804.2	23,194.1
Net PP&E	2,255.8	2,208.3	2,150.5	2,093.6
Net intangibles	1.1	1.1	1.1	1.1
Total investments	471.3	491.3	511.3	531.3
Other long-term assets	1,732.9	1,997.7	2,029.2	2,013.7
Total assets	22,450.6	25,099.0	26,496.2	27,833.8
Accounts payable	1,681.6	2,251.8	2,469.2	2,568.1
Short-term debt	4,195.1	4,599.9	4,754.5	4,882.5
Short-term lease liabilities	307.0	343.0	344.7	334.3
Other current liabilities	552.0	605.4	627.8	644.7
Total current liabilities	6,735.7	7,800.0	8,196.3	8,429.6
Long-term debt	—	—	—	—
Long-term lease liabilities	248.9	1,056.4	1,061.7	1,029.7
Other long-term liabilities	197.2	162.8	173.4	181.5
Total long-term liabilities	446.1	1,219.2	1,235.1	1,211.2
Total liabilities	7,181.7	9,019.2	9,431.4	9,640.8
Preferred shares	—	—	—	—
Total common equity	15,359.0	16,199.3	17,213.2	18,371.9
Minority interest	(90.1)	(119.5)	(148.4)	(178.9)
Total liabilities & equity	22,450.6	25,099.0	26,496.2	27,833.8
Net debt, adjusted	1,833.6	3,004.3	2,993.2	2,770.5

Cash Flow (HK\$ mn)

	3/26	3/27E	3/28E	3/29E
Net income	2,045.8	2,029.9	2,041.1	2,213.1
D&A add-back	551.0	619.9	672.8	707.5
Minority interest add-back	(29.2)	(29.4)	(28.8)	(30.5)
Net (inc)/dec working capital	(3,754.3)	(2,713.8)	(1,071.2)	(1,001.0)
Other operating cash flow	408.7	(79.3)	194.4	193.3
Cash flow from operations	(777.9)	(172.7)	1,808.2	2,082.4
Capital expenditures	(101.7)	(135.9)	(132.8)	(142.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	70.2	22.5	15.2	16.7
Cash flow from investing	(31.5)	(113.5)	(117.7)	(125.3)
Repayment of lease liabilities	(405.1)	(466.6)	(511.1)	(536.6)
Dividends paid (common & pref)	(645.8)	(918.9)	(915.2)	(945.6)
Inc/(dec) in debt	1,702.8	—	—	—
Other financing cash flows	123.1	439.1	(609.6)	(660.9)
Cash flow from financing	1,180.1	(479.8)	(1,524.8)	(1,606.5)
Total cash flow	370.6	(765.9)	165.8	350.6
Free cash flow	(1,284.8)	(775.2)	1,164.3	1,403.8

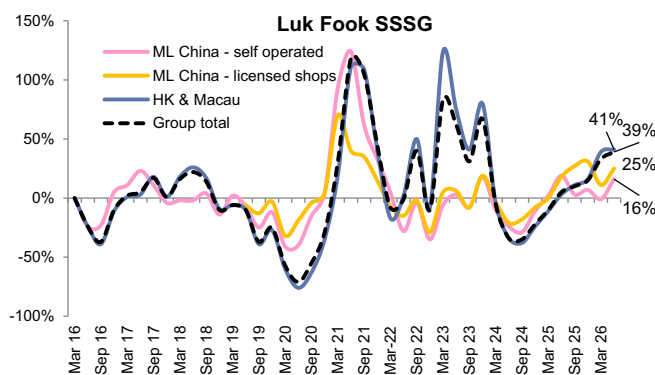
Source: Company data, Goldman Sachs Research estimates.

by 16% yoy, in-line with GSe of +15% yoy, or 5% above pre-COVID level (i.e. Jun-quarter 2019), better than 2% above during Mar-quarter. Licensed shops, which accounted for c.91% of the total mainland China store network during the quarter, recorded SSSG at +25% yoy, ahead of GSe of +22% yoy, implying 19% above pre-Covid. SSS of gold products was up 21% yoy for direct shops, while fixed priced jewelry SSS down by 7%. The company net closed 150 stores in ML China during the Jun quarter, vs. GSe of 150 net closures in 1HFY27.

HK&Macau: Jun quarter SSSG came in at +41% yoy, slightly behind GSe of +45% yoy, implying 78% of the level in the Jun-quarter 2018 (or “normal level”, i.e. pre-COVID and before HK macro situation). By product, gold SSS was up by 55% and at 103% of normal level, while fixed-price jewelry SSS increased by 15% and was at 48% of normal level. The company’s store count in HK&Macau was flat in the Jun quarter, while opened 2 stores in overseas markets.

Exhibit 1: In ML China, SSSG accelerated in Jun-quarter for both self-operated and licensed stores. HK&Macau SSSG also accelerated in Jun-quarter.

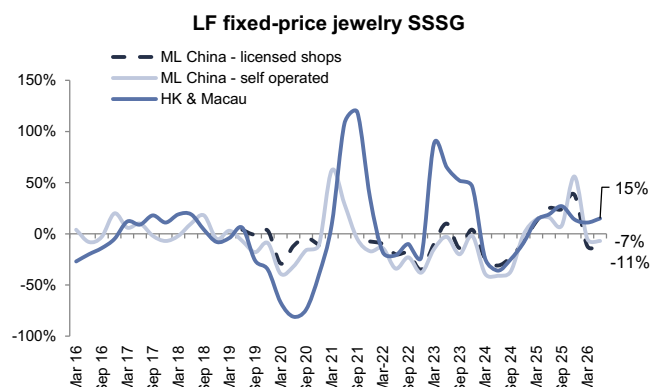
SSSG trends



Source: Company data

Exhibit 2: Fixed-price jewelry SSSG accelerated in both ML China and HK&Macau in Jun-quarter.

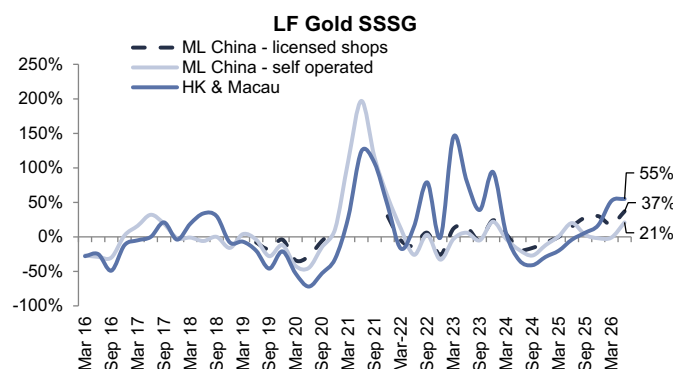
Fixed-price jewelry SSSG comparison



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: SSS of gold products accelerated in both ML China and HK&Macau in Jun-quarter.

Gold SSSG comparison



Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Luk Fook Holdings

Our 12m TP is HK\$25, based on 7.5x average FY3/27E target PE, at a 40% discount

against Chow Tai Fook in line with the level in 2017-18 when Hong Kong/Macau SSSG outperformed. Key risks: 1) slower/faster SSSG recovery; 2) slower-/faster-than-expected rental cost cuts; 3) changes in mainland Chinese tourists' preference of destinations to visit; 4) changes in China's travel policy; and 5) volatility in gold price/FX.

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Reg AC

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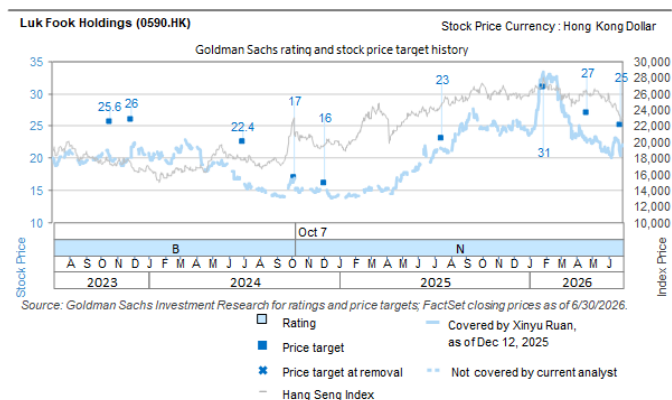
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Target price history table(s)

Luk Fook Holdings (0590.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
26-Jun-26	25.00	21.82
22-Apr-26	27.00	22.48
29-Jan-26	31.00	33.00
17-Jul-25	23.00	21.35
03-Dec-24	16.00	14.80
07-Oct-24	17.00	17.00
01-Jul-24	22.40	16.62
29-Nov-23	26.00	20.26
19-Oct-23	25.60	20.46

Price targets shown in table(s) are unadjusted for corporate actions.

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